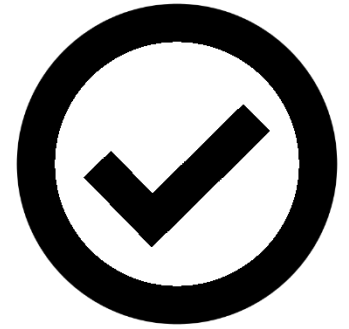




**BUSINESS
PROFESSIONALS**
of **AMERICA**
Giving Purpose to Potential



FUNDAMENTAL ACCOUNTING (100)

STATE 2021

CONCEPT KNOWLEDGE:

True/False (20 @ 2 points each)	_____	(40 points)
Multiple Choice (20 @ 2 points each)	_____	(40 points)

APPLICATION KNOWLEDGE:

Short Answer	_____	(32 points)
Problem 1 - Special Journals	_____	(75 points)
Problem 2 - Payroll Transactions	_____	(37 points)
Problem 3 - Closing Entries	_____	(38 points)
<i>TOTAL POINTS</i>	_____	<i>(262 points)</i>

Test Time: 90 minutes

GENERAL GUIDELINES:

Failure to adhere to any of the following rules will result in disqualification:

1. Contestant must hand in this test booklet and all printouts if any. Failure to do so will result in disqualification.
2. No equipment, supplies, or materials other than those specified for this event are allowed in the testing area. No previous BPA tests and/or sample tests (handwritten, photocopied, or keyed) are allowed in the testing area.
3. Electronic devices will be monitored according to ACT standards.

EXAM GUIDELINES:

You have been hired as a Financial Assistant and will be keeping the accounting records for Digital Solutions, located at 700 Morse Road, Suite 201, Columbus, Ohio 43214. Digital Solutions provides accounting and other financial services for clients. You will complete jobs for Digital Solutions' own accounting records, as well as for clients.

You will have 90 minutes to complete your work. The test is divided into two parts: concept knowledge and application knowledge.

Your name and/or school name should *not* appear on any work you submit for grading. Write your contestant number in the provided space. Staple all pages in order before you turn in your test.

Assumptions to make when taking this assessment:

- Round all calculations at the final step.
- Round all percentages to one decimal place.
- Use 360 days for interest calculations.

TRUE/FALSE:

1. B
2. B
3. B
4. A
5. B
6. B
7. B
8. A
9. A
10. B
11. B
12. B
13. A
14. B
15. B
16. A
17. A
18. A
19. A
20. B

MULTIPLE CHOICE:

21. A
22. D
23. C
24. A
25. A
26. B
27. D
28. D
29. B
30. C
31. B
32. D
33. D
34. A
35. B
36. A
37. A
38. D
39. C
40. C

SHORT ANSWER (32 Total Points)

1. 12 points – 1 each for regular, OT, and Total earnings

Employee Number	Hours Worked		Regular Rate	Earnings		Total Earnings
	Regular	Overtime		Regular	Overtime	
15	80	8	\$14.00	\$1,120.00	\$168.00	\$1,288.00
19	80	3	13.00	1,040.00	58.50	1,098.50
22	76	6	15.00	1,140.00	135.00	1,275.00
28	80	2	14.00	1,120.00	42.00	1,162.00

2. 10 points – 2 points each

- a..Total Assets **269,450.00**
- b. Working Capital **125,550.00**
- c. Current Ratio **3.4 or 3.44**
- d. Ending Retained Earnings **138,050.00**
- e. Total Liabilities and Stockholders' Equity **269,450.00**

3. 4 points – 2 points each

- a. March 12 **10,740.80**
- b. March 15 **10,960.00**

4. 6 points – 2 points each

- a Capital Stock **52,500.00**
- b. Retained Earnings **125,600.00**
- c. Stockholders' Equity **178,100.00**

PROBLEM 1 - SPECIAL JOURNALS (75 points total) - 1 point each for Journal, Debit, Credit. Account(s) shown are to be exact. Transactions with multiple debits or credits must include all to be counted as correct. Additional accounts also make the answer incorrect.

	Journal	Debit	Credit
1. Paid ABC Insurance in advance for insurance.	<u>CP</u>	<u>160</u>	<u>110</u>
2. Sent a check to Bixby Realty for monthly rent.	<u>CP</u>	<u>630</u>	<u>110</u>
3. Bought supplies from Becker Supplies. Paid half now, other half due in 30 days.	<u>CP</u>	<u>150</u>	<u>110,210</u>
4. Sold merchandise for cash.	<u>CR</u>	<u>110</u>	<u>410</u>
5. Purchased merchandise on account from Randall Inc. Terms of sale are 2/10, n/30.	<u>P</u>	<u>510</u>	<u>220</u>
6. Wrote a check to establish the Petty Cash Fund .	<u>CP</u>	<u>115</u>	<u>110</u>
7. Sold merchandise to Stellar Corp. They wrote a check for the entire amount.	<u>CR</u>	<u>110</u>	<u>410</u>
8. Some merchandise received from Randall Inc. was damaged. Company granted us an allowance.	<u>G</u>	<u>220</u>	<u>530</u>
9. Paid Becker Supplies for amount owed, less discount for early payment.	<u>CP</u>	<u>220</u>	<u>110, 520</u>
10. Sold merchandise on account to Stellar Corp., Terms of sale are 2/10, n/30	<u>S</u>	<u>120</u>	<u>410</u>
11. Paid cash for advertising.	<u>CP</u>	<u>610</u>	<u>110</u>
12. Paid cash for delivery fee.	<u>CP</u>	<u>620</u>	<u>110</u>
13. Dennis Jones withdrew cash for personal use.	<u>CP</u>	<u>320</u>	<u>110</u>
14. Granted credit to Winterset Corp. for merchandise returned.	<u>G</u>	<u>430</u>	<u>120</u>
15. Received payment from Stellar Corp. for amount owed less discount for early payment.	<u>CR</u>	<u>110,420</u>	<u>120</u>
16. Wrote a check to replenish the Petty Cash fund back to the full amount. Payments included: Supplies, Advertising Expense, Misc. Expense.	<u>CP</u>	<u>150,610,620</u>	<u>110</u>
17. Performed services for Stellar Corp. for cash.	<u>CR</u>	<u>110</u>	<u>410</u>
18. Paid monthly utility bill.	<u>CP</u>	<u>640</u>	<u>110</u>
19. Bought supplies for cash.	<u>CP</u>	<u>150</u>	<u>110</u>
20. Received partial payment from Winterset Co. from bankruptcy settlement.	<u>CR</u>	<u>110</u>	<u>130</u>
21. Wrote off the remaining accounts receivable balance of Winterset Co.	<u>G</u>	<u>140</u>	<u>130</u>
22. The board of directors declared a dividend of \$.60 per share.	<u>G</u>	<u>325</u>	<u>230</u>
23. Paid cash to LTC Supply for merchandise, less a trade discount.	<u>CP</u>	<u>510</u>	<u>110</u>

FUNDAMENTAL ACCOUNTING

STATE KEY 2021

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24.	Sold merchandise on account to Winterset Co., plus sales tax.	<u>S</u>	<u>130</u>	<u>410,240</u>
25.	Paid cash for a dividend declared.	<u>CP</u>	<u>230</u>	<u>110</u>

PROBLEM 2 - JOURNALIZING PAYROLL TRANSACTIONS (37 points total) – 1 point for each date, account name and correct amount. Note – Please accept as correct similar account names, as different textbooks might vary the name. The word Payable or Expense is required, however.

General Journal (11 points)				
Date		Account Title	Debit	Credit
Apr.	15	Payroll Taxes Expense	424.64	
		Social Security Tax Payable		190.09
		Medicare Tax Payable		44.46
		Unemployment Tax Payable— Federal		24.53
		Unemployment Tax Payable—State		165.56

Cash Payments Journal (26 points)						
Date		Account Title	General Debit	General Credit	Accounts Payable Debit	Purchases Discount Credit
Apr.	15	Employee Income Tax Payable	693.00			
		Social Security Tax Payable	770.04			
		Medicare Tax Payable	180.09			
	15	Salary Expense	3,066.00			
		Employee Income Tax Payable		182.00		
		Social Security Tax Payable		190.09		
		Medicare Tax Payable		44.46		
	30	Unemployment Tax Pay- Federal	149.04			
	30	Unemployment Tax Pay-State	1,006.02			

PROBLEM 3 – CLOSING ENTRIES (38 total points) – 1 point each for the account name and the correct debit or credit amount.**GENERAL JOURNAL**

DATE	ACCOUNT	DEBIT	CREDIT
Dec 31	Sales	290,400	
	Purchases Discount	1,275	
	Purchases Returns & Allowances	1,500	
	Income Summary		293,175
31	Income Summary	234,360	
	Purchases		145,600
	Sales Discount		2,800
	Sales Returns & Allowances		11,650
	Advertising Expense		2,520
	Depreciation Expense		14,200
	Miscellaneous Expense		650
	Rent Expense		4,600
	Salary Expense		35,780
	Utilities Expense		2,910
	Federal Income Tax Expense		13,650
31	Income Summary	55,245	
	Retained Earnings		55,245
31	Retained Earnings	8,000	
	Dividends		8,000

Note to Grader –
The order of
accounts within
each entry should
not be counted
against the
student.